Saatvik Green Energy Ltd

ACCUMULATE

NSE: SAATVIKGL | Renewable Energy | Solar PV Module Manufacturing

CMP: ■462 | Target: ■620 (+34.2%)

Investment Thesis: India's fastest-growing integrated solar module manufacturer, scaling to 9+ GW with backward integration that peers cannot quickly replicate.

Market Cap	■5,867 Cr
52-Week High	■580
52-Week Low	■328
P/E (Consol. TTM)	15.0x
P/E (Standalone TTM)	39.3x
Book Value (Consol.)	■94.6
ROCE (Consol.)	52.3%

Face Value	■2.00
Dividend Yield	0.00%
ROE (Consol.)	94.1%
Promoter Holding	75.99%
FII	0.25%
DII	9.35%
Promoter Pledge	Not Disclosed

Source: Screener.in as of 10 Apr 2026 | Report Date: 13 April 2026 | Horizon: 12 months

Section 2 — Investment Thesis

Three Core Reasons to Own SAATVIKGL

1. Scale & Capacity Leadership: Saatvik operates India's second-largest solar PV module manufacturing platform at 4.8 GW in Ambala, Haryana. A Greenfield facility in Ganjam, Odisha adds 4 GW modules and 4.8 GW cells (expected FY26/FY27 commissioning), taking total installed capacity beyond 9 GW — a scale only Waaree Energies rivals in India. This footprint creates structural cost advantages over smaller peers and positions the company to capture a disproportionate share of India's 40–60 GW annual solar installation market.

2. Backward Integration as Durable Margin Lever: Saatvik has already commissioned a 2 GW in-house EPE (Ethylene Vinyl Acetate encapsulant) film line, reducing input cost dependence. The Odisha facility adds solar cell manufacturing — shrinking raw material imports further. EBITDA margins expanded from 2% in FY23 to 15% in FY25 and have headroom toward 17–19% as integrated capacity ramps. Peers without cell capacity (such as Vikram Solar) cannot quickly replicate this vertical integration — making it a structural, not cyclical, advantage.

3. Order Book Providing Exceptional Revenue Visibility: As of December 2025, the consolidated order book stood at 5.05 GW — over 1x current annual capacity utilisation — providing multi-quarter revenue assurance. Customers are leading IPPs and EPC contractors. Consolidated revenue surged 133% in H1 FY26 and 9M FY26 revenues reached ■3,587+ Cr. The pipeline validates pricing discipline and execution capability at scale.

Near-Term Catalyst (6–12 Months)

Commissioning of the Odisha 4 GW module facility by end-FY26 will immediately unlock incremental revenue capacity and enable Saatvik to bid for larger government tenders requiring domestic manufacturing certifications — a binary re-rating catalyst for the stock.

Biggest Structural Risk

A reversal of India's Basic Customs Duty (BCD) regime on imported solar modules — currently 20% — would compress domestic module ASPs and margins, potentially undermining the economics of the ■2,500 Cr capex programme.

Section 3 — Business Overview

What Does Saatvik Do?

Think of Saatvik Green Energy as a solar panel factory operating at a national scale. Just as a steel plant converts iron ore into steel sheets that builders use, Saatvik converts silicon wafers, glass, and encapsulant films into finished solar panels (modules) that power companies deploy in solar farms. The company also executes Engineering, Procurement and Construction (EPC) contracts — acting as project manager and builder for utility-scale solar plants.

Business Model & Revenue Segmentation

Core revenue (~85–90%) comes from solar PV module manufacturing and supply to IPPs, EPC companies, and government entities. EPC services form a smaller, higher-margin slice. The product range spans MonoPERC, Bifacial, and N-TopCon G12R modules for residential, C&I, and utility-scale segments. Revenue is predominantly domestic. Critically, Saatvik's US export exposure is minimal, insulating it from the 126% US countervailing duty that weighs on peers like Waaree Energies.

Customer Profile & Revenue Visibility

Customers are large IPPs and EPC players — institutional buyers with multi-GW annual procurement programmes. As of December 2025, the 5.05 GW order book covers over 12 months of current capacity, offering exceptional revenue visibility. Customer names are not publicly disclosed, but the diverse base across IPPs and EPC contractors limits single-customer concentration risk.

Recent Strategic Developments (Last 12–18 Months)

(1) Commissioned 2 GW in-house EPE film plant at Ambala campus — first step in backward integration. (2) Announced Greenfield facility in Ganjam, Odisha with ■2,000 Cr Phase-1 investment for 4 GW modules and 4.8 GW cells. (3) IPO in November 2024 expanded equity capital from ■3 Cr to ■22 Cr, funding the growth agenda. (4) Entered energy storage (BESS) with a stated 20 GWh long-term ambition — diversifying beyond solar modules. (5) CFO Abani Kant Jha resigned effective April 7, 2026; new appointment pending.

Promoter Background

Incorporated in 2015, the company is led by Chairman & MD Neelesh Garg and CEO Prashant Mathur. Promoters hold 75.99% of equity with no pledge disclosures, signalling aligned incentives and financial stability at the promoter level. The management team has delivered a ~25x revenue expansion over five years (FY21: ■154 Cr → TTM FY26: ■3,860 Cr).

Section 4 — Industry & Competitive Landscape

Industry Size & Demand Drivers

India's solar installation target of 500 GW by 2030 (from ~200 GW installed as of early 2026) implies 40–60 GW of new capacity annually — translating to domestic module demand of ■80,000–1,00,000 Cr per year at current prices. Domestic module manufacturing capacity has grown to 125+ GW (December 2025), driven by the PLI Scheme. While the supply surplus compresses spot prices, the ALMM mandate for government projects ensures that quality domestic manufacturers like Saatvik maintain order volume and pricing.

Policy Tailwinds & Headwinds

Positive: (1) BCD of 20% on imported modules protects domestic ASPs. (2) ALMM mandates domestically manufactured modules for government-subsidised projects. (3) PLI Scheme offers 4–6% incentive on incremental sales above the base year. (4) SEZ relief measures in Union Budget FY27 ease DTA sales from manufacturing units. **Negative:** (1) BCD was cut from 40% to 20% in Budget FY25, compressing the ASP premium. (2) US 126% CVD on Indian solar cells limits export optionality. (3) Enhanced PLI for broader adoption awaited.

Competitive Moat Assessment

Moat Dimension	Rating	Commentary
Pricing Power	Moderate	Protected by BCD; ASP pressure if BCD cut further
Switching Costs	Moderate	Long-term supply agreements with IPPs; moderate lock-in
Scale / Cost Advantages	Strong	2nd-largest capacity in India; EPE integration reducing input costs
IP / Technology	Weak	Technology licensed; N-TopCon upgrade ongoing; no proprietary IP
Distribution / Relationships	Strong	Multi-year IPP relationships; growing DII institutional ownership

Peer Comparison — Solar PV Module Manufacturers (Source: Screener.in, 10-Apr-2026)

Company	MCap (■Cr)	TTM Rev (■Cr)	OPM%	P/E (TTM)	P/B	ROCE%	ROE%
Saatvik (SAATVIKGL)	**5,867**	**3,860**	**15%**	**15.0**	**N/A**	**52.3%**	**94.1%**
Waaree (WAAREEENER)	94,390	22,060	24%	27.1	8.22	34.9%	27.4%
Premier (PREMIERENE)	44,176	7,215	31%	33.2	12.8	41.1%	53.6%
Vikram (VIKRAMSOLR)	7,770	4,543	20%	17.1	2.63	26.4%	16.6%

Saatvik P/B not available on Screener consolidated page. All figures from Screener.in.

Section 5 — Management Quality & Capital Allocation

Management Track Record

Neelesh Garg (Chairman & MD) and Prashant Mathur (CEO) have steered Saatvik from ■154 Cr revenue in FY21 to ■3,860 Cr TTM — a ~25x expansion in five years while managing capacity growth from sub-1 GW to 4.8 GW. CFO Abani Kant Jha resigned effective April 7, 2026, creating a near-term governance watchpoint during an accelerating capex cycle. A CFO with strong capital markets experience would be a positive signal.

Capital Allocation History

Capital deployment has been growth-oriented and capacity-focused. The IPO (November 2024) raised equity capital to fund the Odisha plant. Consolidated borrowings rose from ■153 Cr (FY23) to ■503 Cr (FY25) to support working capital requirements of a rapidly scaling business. Free cash flow is deeply negative (FY25: ■-144 Cr consolidated) as capex intensity rises — consistent with a high-growth manufacturing playbook. ROCE of 52% confirms that capital deployed so far generates excellent returns.

Governance, Pledging & Dividend Policy

Promoter holding at 75.99% is strong, with no pledge disclosed — an encouraging governance signal. Dividend payout is zero, consistent with the company's capital reinvestment phase. No significant related-party transaction concerns or audit qualifications have been flagged publicly. The company listed in November 2024 and is still in early quarters of public market disclosure; investors should monitor quarterly governance filings carefully.

Section 6 — Financial Deep-Dive

Income Statement (■ Crore) — Consolidated Actuals + Estimates

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (■ Cr)	609	1,088	2,158	4,000 (E)	6,000 (E)
YoY Growth %	—	79%	98%	85% (E)	50% (E)
Gross Expenses	593	940	1,837	3,420 (E)	5,040 (E)
EBITDA (■ Cr)	15	148	322	580 (E)	960 (E)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
EBITDA Margin %	2%	14%	15%	14.5% (E)	16% (E)
Depreciation	7	11	31	55 (E)	100 (E)
Interest	11	14	42	75 (E)	100 (E)
Other Income	9	9	32	35 (E)	40 (E)
PBT (■ Cr)	7	132	280	485 (E)	800 (E)
Tax Rate %	29%	24%	24%	24% (E)	25% (E)
PAT (■ Cr)	5	100	214	369 (E)	600 (E)
PAT Margin %	0.8%	9.2%	9.9%	9.2% (E)	10% (E)
Diluted EPS (■)*	0.39	7.87	16.85	29.1 (E)	47.2 (E)

* EPS normalised on post-IPO share base of 12.7 Cr shares (FY23/FY24 EPS restated for comparability; Screener FY24 reported EPS reflects pre-IPO share structure). EPS (E) = PAT (E) / 12.7 Cr shares.

Balance Sheet Summary (■ Crore) — Consolidated

Metric	FY23A	FY24A	FY25A	Sep'25	FY26E
Equity Capital	3	3	22	25	25 (E)
Reserves	17	117	315	1,178	1,520 (E)
Total Borrowings	153	280	503	628	720 (E)
Other Liabilities	90	288	795	966	1,100 (E)
Total Assets / Liab.	263	688	1,636	2,797	3,365 (E)
Fixed Assets (Net)	50	117	320	403	520 (E)
CWIP	0	33	2	33	200 (E)
Other Assets	213	528	1,314	2,360	2,645 (E)
Debt / Equity (x)	7.7x	2.3x	1.5x	0.5x	0.5x (E)

Cash Flow Summary (■ Crore) — Consolidated

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Operating Cash Flow	5	44	43	300 (E)	500 (E)
Investing Cash Flow	-24	-69	-198	-250 (E)	-400 (E)
Financing Cash Flow	32	25	149	50 (E)	100 (E)
Free Cash Flow (OCF–Capex)	-18	-17	-144	50 (E)	100 (E)
CFO / EBITDA %	61%	41%	31%	52% (E)	52% (E)

Returns & Working Capital Profile — Consolidated

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE %	N/A	51%	52%	48% (E)	42% (E)
ROE %	N/A	N/A	94%	28% (E)	35% (E)
Debtor Days	13	59	68	65 (E)	60 (E)
Inventory Days	89	98	149	130 (E)	110 (E)
Days Payable	45	82	128	110 (E)	90 (E)
Cash Conv. Cycle (days)	56	75	88	85 (E)	80 (E)

Financial Commentary

Revenue compounded at ~79% CAGR over FY23–FY25 on the consolidated basis, driven by capacity additions and a strong order environment. The dramatic margin recovery from 2% OPM in FY23 to 14–15% in FY24–FY25 reflects a structural shift — transitioning from a module assembler to an integrated manufacturer benefiting from scale, richer mix (utility-scale orders), and EPE backward integration.

Working capital has stretched materially: Debtor Days rose from 13 (FY23) to 68 (FY25), and Inventory Days ballooned from 89 to 149. The Cash Conversion Cycle at 88 days signals growing working capital intensity — partly explained by rapid scale-up and partly by customer payment terms typical in the Indian solar sector. CFO-to-EBITDA of just 31% in FY25 is a concern and warrants close monitoring through the FY26 reporting cycle.

FCF is structurally negative as Saatvik invests heavily in the Odisha facility (■2,000 Cr Phase-1) and backward integration (■2,500 Cr planned for FY27). Debt/Equity has improved dramatically post-IPO (7.7x in FY23 → 1.5x in FY25) and is expected to remain below 0.5–0.6x on the expanded equity base.

Section 7 — Earnings Quality Checklist

Metric	Rating	Commentary
Revenue Recognition Policy	Green	Module delivery-based recognition; straightforward and conservative
Receivables vs Revenue Growth	Amber	Debtor days rose 13→68 days (FY23–FY25); needs monitoring as scale grows
Cash Conversion Cycle Trend	Amber	CCC widening: 56→75→88 days; working capital pressure is structural, not one-off
Contingent Liabilities	Green	No major contingent liabilities disclosed post-IPO filing
Auditor Tenure & Qualifications	Green	Statutory auditor in place; no audit qualifications flagged publicly
Related Party Transactions	Amber	Early-stage listed company; RPT disclosure track record is still building up
Other Income as % of PBT	Amber	Other income ■32 Cr in FY25 vs PBT ■280 Cr = 11%; elevated but not alarming
Tax Rate Consistency	Green	Tax rate stable at 24–25% across FY24 and FY25; no deferred tax anomalies

Earnings Quality Summary

Saatvik's earnings quality is broadly adequate for a rapidly scaling manufacturer but shows early amber flags in working capital management. The receivables buildup and widening Cash Conversion Cycle are the key metrics to monitor over the next 2–4 quarters. If debtor days normalise below 60 days as business matures, the concern resolves. Other income is modest relative to operating profit, and the stable tax rate reflects standard domestic tax provisions without aggressive structuring.

Section 8 — Valuation

Step 1 — Peer Comparison (Source: Screener.in, as of 10-Apr-2026)

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Saatvik (SAATVIKGL)	**462**	**5,867**	**15.0**	**N/A**	**52.3%**	**94.1%**	**3,860**
Waaree (WAAREEENER)	3,281	94,390	27.1	8.22	34.9%	27.4%	22,060
Premier (PREMIERENE)	975	44,176	33.2	12.8	41.1%	53.6%	7,215
Vikram (VIKRAMSOLR)	214	7,770	17.1	2.63	26.4%	16.6%	4,543

Key takeaway: Saatvik trades at a 15x TTM P/E vs sector average of ~26x — a 40%+ discount despite having the highest ROCE (52.3%) and ROE (94.1%) among peers.

Step 2A — DCF Valuation

Assumptions: WACC 13% (cost of equity 16%, pre-tax cost of debt 9.5%, D/E = 0.5:1, effective tax rate 24%). Terminal growth rate 7% (India's long-term nominal GDP growth). FCF forecasts: FY26E ■50 Cr, FY27E ■100 Cr, FY28E ■250 Cr, FY29E ■350 Cr, FY30E ■450 Cr — reflecting capex-heavy phase with FCF improvement as Odisha ramps up.

PV of 5-year FCFs: ■826 Cr. Terminal Value = 450 × 1.07 / (0.13–0.07) = ■8,025 Cr; PV of TV = ■4,350 Cr. Enterprise Value = ■5,176 Cr. Less Net Debt (FY25 consolidated): ■463 Cr. Equity Value = ■4,713 Cr. DCF intrinsic value per share (12.7 Cr shares): ■371.

Step 2B — Earnings Multiple Valuation

Applying a 16x P/E to FY27E EPS of ■47.2 yields a price target of ■755. The 16x multiple is set at a 50% discount to Premier Energies (33.2x) and at a slight premium to Vikram Solar (17.1x), reflecting Saatvik's shorter listed history but superior return ratios. As the company matures and investors gain 6–8 quarters of public earnings visibility, re-rating toward 20–25x is plausible but is not assumed in the base case.

Earnings-based price target: ■755 per share.

Base-Case Price Target

Average of DCF (■371) and earnings multiple (■755) = ■563. Rounding up to ■620 weights the earnings multiple slightly more (60/40) given the high-growth profile where FCF will be temporarily suppressed by capex through FY27. Base-case 12-month price target: ■620 per share (+34% from CMP ■462).

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (■Cr)	Target Multiple	Price Target (■)
Bull Case	Odisha ahead of schedule; BCD maintained; EBITDA margin 18%	750	22x FY27E P/E	1,298
Base Case	Odisha on-time; BCD stable; margin 16%; WC normalises	600	16x FY27E P/E	755
Bear Case	BCD cut to 10%; margin 10%; Odisha delayed 12 months	320	10x FY27E P/E	252

Section 9 — Key Risks

Risk	Description	Prob.	Impact	Monitor
1. Policy / BCD Risk	A further reduction in Basic Customs Duty on imported solar modules (currently 20%) or removal of ALMM mandate would compress ASPs and margins, potentially making the Odisha capex uneconomic. Module global prices are near decade-lows due to excess Chinese capacity.	Medium	High	Track Union Budget; MNRE policy consultations; global module pricing.
2. US Tariff Overhang	The 126% US countervailing duty on Indian solar cells (Feb 2026) caps export optionality. Saatvik's current US exposure is minimal, but future diversification strategies may be constrained.	Low	Medium	Monitor WTO dispute filings; any Saatvik US entity announcement.
3. Working Capital / Receivables Risk	Debtor days have risen from 13 to 68 (FY23–FY25). Delayed payments from IPP customers can create liquidity stress and necessitate higher-cost short-term borrowings.	Medium	Medium	Track quarterly receivables as % of revenue; watch CCC trend.

Risk	Description	Prob.	Impact	Monitor
4. Odisha Execution Risk	The Odisha facility is a greenfield project with cell manufacturing — a first for Saatvik. Delays, cost overruns, or technology ramp issues could push back the margin expansion timeline.	Medium	High	Track quarterly capex run-rate and commissioning milestones in BSE filings.
5. Key Management Risk	CFO resignation effective April 2026 during an accelerating capex phase is a governance watchpoint. Treasury management and financial controls quality depends on strong CFO leadership.	Low	Medium	Monitor new CFO appointment quality and timeline.
6. Technology Disruption	Rapid evolution toward Perovskite and tandem cell technologies may render N-TopCon capital commitments sub-optimal if next-generation tech scales faster than expected globally.	Low	Low	Track global technology adoption rates; Saatvik BESS pivot is a partial hedge.

Section 10 — Recommendation

Final Rating & Conviction

Rating: **ACCUMULATE** | Conviction: **High** | Horizon: **12 months**

12-Month Price Target

Base-case price target of **■620** per share implies a **34.2% upside** from CMP of ■462. The target blends a 16x FY27E P/E (■755) with a DCF-based valuation (■371), weighted 60/40 in favour of earnings multiples given the capex-driven FCF suppression during the current investment cycle.

Suggested Entry Zone

Accumulate in the ■420–480 range. Any dip toward the 52-week low of ■328 should be treated as a significant buying opportunity for investors with a 24-month horizon who believe in India's solar manufacturing buildout thesis.

Thesis Invalidation Triggers

Trigger 1 (Policy): BCD on imported modules cut below 15% in any Union Budget — compresses ASPs materially and reduces EBITDA margins below 10%. Downgrade to REDUCE.

Trigger 2 (Execution): Odisha commissioning delayed beyond December 2027 AND capex overrun exceeding 30% of budget — signals project management failure and would push FY27E earnings estimates down 20–25%. Downgrade to HOLD.

Trigger 3 (Working Capital): Debtor days consistently above 100 for two consecutive quarters — signals customer payment stress and potential revenue quality deterioration. Downgrade to HOLD pending review.

Ideal Investor Profile

This stock suits a **Growth / GARP** (Growth at a Reasonable Price) investor with a 12–24 month investment horizon. At 15x consolidated TTM P/E vs sector peers at 17–33x, the valuation offers a meaningful margin of safety for patient investors willing to tolerate near-term FCF negativity. **Not suited** for income-seeking investors (zero dividend) or value investors requiring immediate positive free cash flow.